

CHINA BANKS

Questions Arising from Strengthened Tax Supervision on BOC: Effective Tax Rate and Liquidity

According to news reports ([link](#)), China's National Audit Office reported that **BOC** evaded Rmb 2.367bn in taxes, representing approximately 1% of its net profit. BOC's H-share price declined by more than 5% at the last close, contributing to a 3% decline in Chinese banks' H-shares. The news reports indicate that **BOC** achieved tax reductions by packaging private fund products as public funds. In light of this news, we see investors will likely focus on two key questions: 1) whether this reported incident could create upward pressure on banks' effective tax rates, potentially weighing on net profit; 2) whether interbank liquidity could tighten as a result.

Our view is as follows:

1. The effective tax rate for Chinese banks is unlikely to rise materially as a result of the news report.

This is mainly because the decline in effective tax rates in recent years has primarily been driven by banks' purchases of government bonds, which are tax-exempt. While income generated from banks' holdings of mutual funds may also qualify for tax exemptions, the volume of newly acquired government bonds far exceeds that of newly acquired public funds.

Based on available data, using the four large banks as an example, the aggregate increase in government bond holdings reached Rmb 16tn over the past three years, while the total increase in fund investments amounted to Rmb 0.3tn ([Exhibit 1](#), [Exhibit 2](#)). Therefore, government bonds predominantly contribute to the growth of low-tax assets.

We also expect that large banks will continue to increase their holdings of government bonds, due to 1) credit deployment needs, and 2) enhanced comprehensive returns derived from tax exemptions and capital relief associated with government bonds. Therefore, even if regulatory oversight tightens or rules change, leading to reduction in tax incentives for mutual funds, it is unlikely this will alter the broader trend of large banks maintaining persistently low effective tax rates.

Our model indicates that the average effective tax rate of the four large banks was 13% over the past three years, with a projected average of 12% for the next three years ([Exhibit 3](#)), mainly reflecting the tax-exempt effect and continued increases in

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government bond holdings.

2. Stricter taxation on banks' mutual fund holdings is unlikely to materially affect interbank market liquidity.

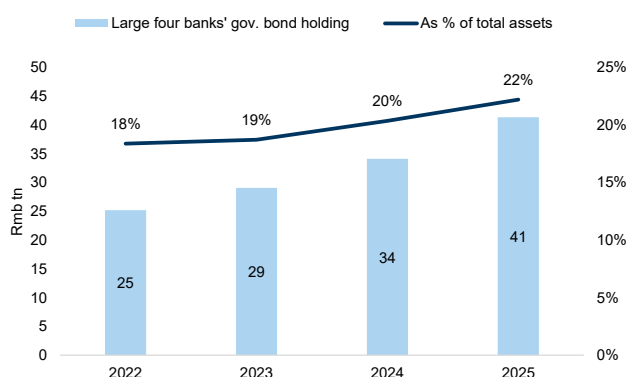
This is largely because banks utilize mutual funds (such as money market funds) to support their interbank deposits, effectively providing liquidity for interbank liabilities, in addition to the aforementioned tax-exempt benefits of mutual funds. Therefore, for banks, holding mutual funds allows them to access interbank liabilities while also generating tax-exempt income.

Firstly, we believe tax exemption rules for specific mutual funds (particularly money market funds) are unlikely to change in the short term, as tax exemption is an important measure to support the development of the mutual fund industry. Second, based on the recent Lujiazui Forum (see [here](#)), we think a downward shift in the center of the interest rate corridor ([Exhibit 4](#)) and new liquidity support for non-bank financial institutions should help maintain ample interbank liquidity.

Therefore, we do not expect strengthened tax supervision of mutual funds to cause meaningful tightness in interbank market liquidity. However, our recent discussions with banks indicate a less optimistic outlook on NIM guidance than before. This is primarily because, while deposit costs continue their downward trend, the pace of reduction is expected by the banks to gradually narrow, thereby progressively weakening support for NIM. Our stock selection framework for the banking sector remains unchanged; amid a slowdown in industry loan growth, we continue to prefer banks that can maintain their NIM and asset quality, strengthen their balance sheets, and stabilize their ROE. We still prefer large banks (such as **BOC**, **CCB**) and **BONB**.

The authors would like to thank Zihan Wang for her contribution to this report.

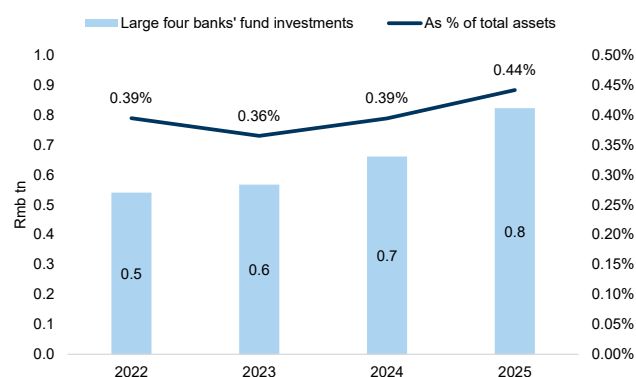
Exhibit 1: Taking the four large banks as an example, the aggregate increase in government bond holdings reached Rmb 16tn over the past three years ...



Note: the large four banks are ICBC, CCB, ABC, BOC

Source: Company data

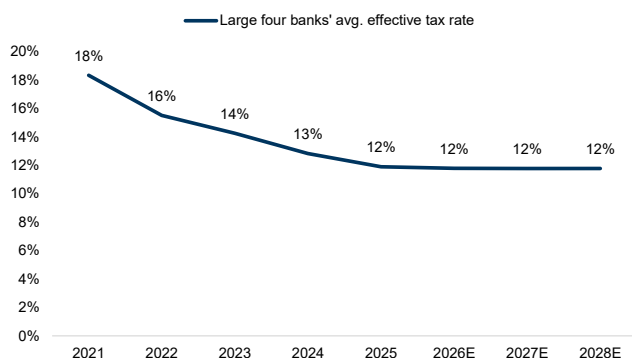
Exhibit 2: ...whereas the total increase in fund investments amounted to Rmb 0.3tn. Therefore, government bonds predominantly contribute to the growth of low-tax assets



Due to data availability, mutual fund investments are proxied by "Fund Investments and Others" under the FVTPL category, potentially higher than the actual asset balance.

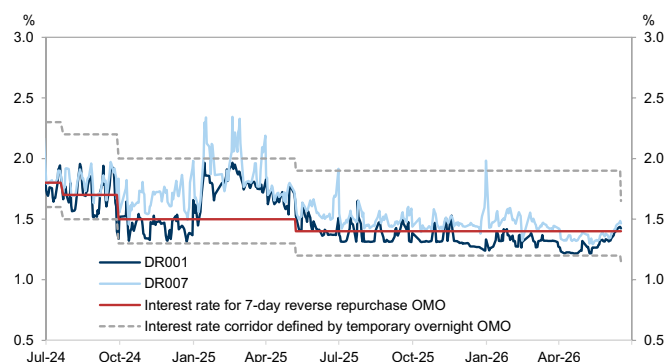
Source: Company data

Exhibit 3: Our model indicates that the average effective tax rate of the four large banks was 13% over the past three years, with a projected average of 12% for the next three years, mainly reflecting the tax-exempt effect and the continued increase in holdings of government bonds.



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: Based on the recent Lujiazui Forum, our conclusion is that a downward shift in the center of the interest rate corridor and new liquidity support for non-bank financial institutions should help maintain ample interbank liquidity



From GS macro team. The grey dashed lines represent the corridor defined by the temporary overnight OMOs.

Source: Wind, Goldman Sachs Global Investment Research

Exhibit 5: Covered banks NIM comparison

	NIM (GS calculated)					
	2023	2024	2025	2026E	2027E	2028E
ICBC	1.57	1.38	1.26	1.22	1.20	1.20
BOC	1.56	1.36	1.23	1.20	1.18	1.18
CCB	1.70	1.50	1.33	1.28	1.25	1.25
ABC	1.54	1.39	1.24	1.18	1.16	1.15
BoCom	1.24	1.20	1.16	1.16	1.13	1.13
PSBC	1.89	1.75	1.58	1.54	1.51	1.50
CMB	2.05	1.84	1.73	1.69	1.67	1.67
Industrial	1.54	1.47	1.41	1.34	1.34	1.34
PAB	2.20	1.67	1.53	1.48	1.46	1.45
HuaXia	1.74	1.46	1.40	1.47	1.47	1.48
BONB	1.62	1.66	1.59	1.56	1.56	1.55
BONJ	1.18	1.10	1.25	1.25	1.20	1.20
Average						
Total	1.65	1.48	1.39	1.36	1.34	1.34
Large	1.58	1.43	1.30	1.26	1.24	1.24
Joint-stock	1.88	1.61	1.52	1.49	1.48	1.49
Regional	1.40	1.38	1.42	1.41	1.38	1.38

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Covered banks LDR comparison

	LDR					
	2023	2024	2025	2026E	2027E	2028E
ICBC	87%	85%	88%	88%	88%	88%
BOC	87%	89%	89%	89%	89%	88%
CCB	86%	90%	90%	89%	89%	89%
ABC	78%	82%	83%	83%	84%	84%
BoCom	93%	97%	98%	98%	99%	99%
PSBC	58%	58%	58%	58%	58%	58%
CMB	79%	75%	73%	72%	72%	71%
Industrial	105%	102%	99%	98%	97%	96%
PAB	99%	94%	93%	93%	92%	91%
HuaXia	107%	108%	107%	105%	104%	104%
BONB	79%	79%	84%	88%	92%	96%
BONJ	79%	82%	83%	84%	85%	86%
Average						
Total	86%	87%	87%	87%	87%	88%
Large	82%	84%	84%	84%	84%	84%
Joint-stock	97%	95%	93%	92%	91%	91%
Regional	79%	81%	84%	86%	89%	91%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Bank of China

Valuation: We are Buy rated on BOC A/H with 12-month target prices of Rmb6.72/HK\$ 5.95. Our 2027E-based target P/PPOP multiples are 4.375x/3.875x for A/H shares.

Downside risks: 1) significantly higher-than-expected asset growth, impacting capital accumulation, 2) dividend payout ratio cut, 3) continued deterioration in asset quality.

Price Target Risks and Methodology - China Construction Bank

Valuation: We are Buy rated on CCB A/H with 12m TPs of Rmb11.47/HK\$ 9.96. Our 2027E-based target P/PPOP multiples are 4.75x/4.125x for A/H shares.

Downside risks: 1) dividend payout ratio miss, 2) worse NIM and asset quality, 3) more capital requirement.

Price Target Risks and Methodology – Bank of Ningbo

Valuation: We are Buy rated on BONB with a 12-month target price of Rmb 41.29 based on 2027E P/PPOP multiple of 4.25x.

Key risks: Worse-than-expected NIM, asset quality and more-than-expected investment loss. Deposit outflow.

Disclosure Appendix

Reg AC

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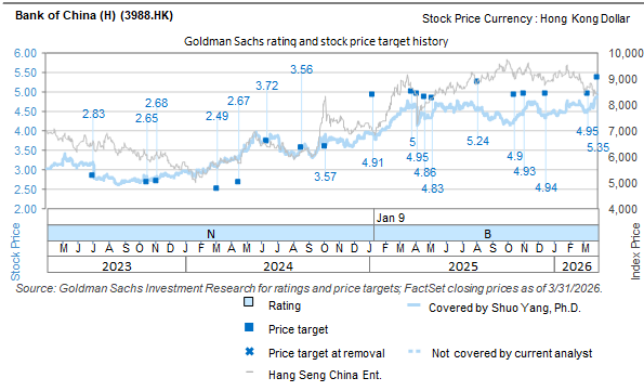
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Goldman Sachs Investment Research global Equity coverage universe

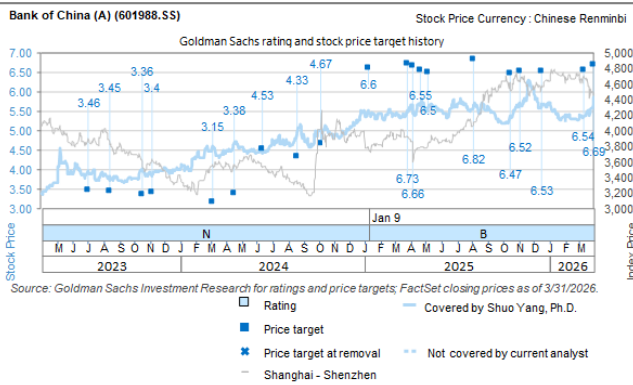
	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	60%	45%

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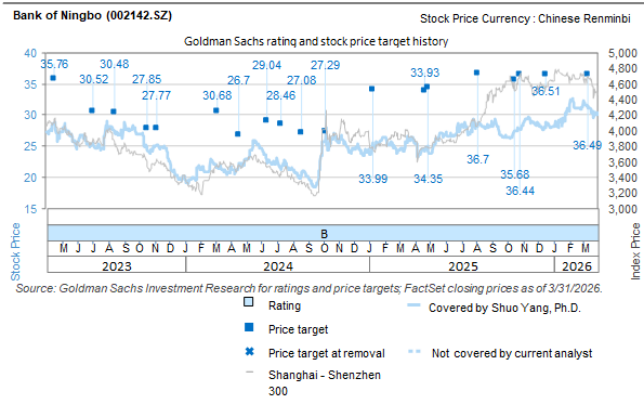
Price target and rating history chart(s)



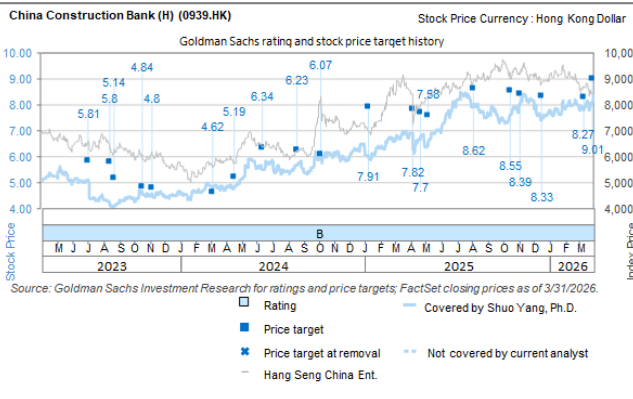
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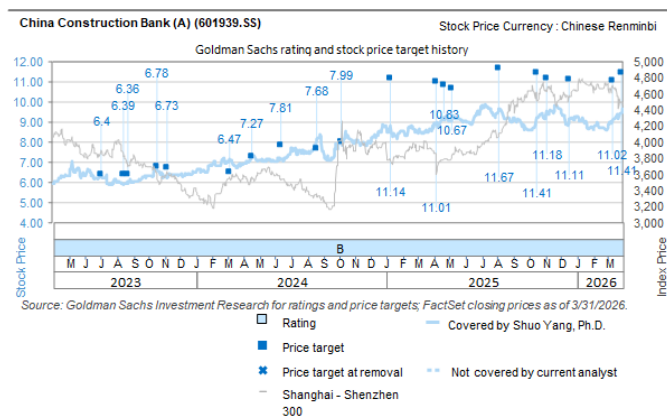
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Target price history table(s)

China Construction Bank (A) (601939.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
30-Apr-26	11.47	9.95
21-Apr-26	11.45	9.85
30-Mar-26	11.41	9.51
11-Mar-26	11.02	9.05
18-Dec-25	11.11	9.16
06-Nov-25	11.18	9.44
17-Oct-25	11.41	9.22
05-Aug-25	11.67	9.64
07-May-25	10.67	9.23
22-Apr-25	10.83	9.19
07-Apr-25	11.01	8.88
09-Jan-25	11.14	8.76
07-Oct-24	7.99	7.93
19-Aug-24	7.68	8.05
12-Jun-24	7.81	7.14
18-Apr-24	7.27	7.30
05-Mar-24	6.47	7.14
07-Nov-23	6.73	6.25
18-Oct-23	6.78	6.75
23-Aug-23	6.36	6.04
15-Aug-23	6.39	5.95
04-Jul-23	6.40	6.28

China Construction Bank (H) (0939.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
30-Apr-26	9.96	8.78
21-Apr-26	9.04	8.96
30-Mar-26	9.01	8.24
11-Mar-26	8.27	7.78
18-Dec-25	8.33	7.52
06-Nov-25	8.39	8.14
17-Oct-25	8.55	7.62
05-Aug-25	8.62	8.00
07-May-25	7.58	6.55
22-Apr-25	7.70	6.74
07-Apr-25	7.82	6.28
09-Jan-25	7.91	5.95
07-Oct-24	6.07	6.18
19-Aug-24	6.23	5.68
12-Jun-24	6.34	5.49
18-Apr-24	5.19	4.86
05-Mar-24	4.62	4.80
07-Nov-23	4.80	4.46
18-Oct-23	4.84	4.65
23-Aug-23	5.14	4.09
15-Aug-23	5.80	4.19
04-Jul-23	5.81	5.09

Bank of China (A) (601988.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
30-Apr-26	6.72	5.75
31-Mar-26	6.69	5.87
11-Mar-26	6.54	5.36
18-Dec-25	6.53	5.70
06-Nov-25	6.52	5.66
17-Oct-25	6.47	5.34
05-Aug-25	6.82	5.65
07-May-25	6.50	5.62
22-Apr-25	6.55	5.73
07-Apr-25	6.66	5.44
27-Mar-25	6.73	5.53
09-Jan-25	6.60	5.46
07-Oct-24	4.67	5.00
19-Aug-24	4.33	4.92
12-Jun-24	4.53	4.41

Bank of Ningbo (002142.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
25-Apr-26	41.29	32.30
11-Mar-26	36.49	31.15
18-Dec-25	36.51	28.78
27-Oct-25	36.44	27.76
17-Oct-25	35.68	27.45
05-Aug-25	36.70	28.49
28-Apr-25	34.35	24.96
22-Apr-25	33.93	24.37
09-Jan-25	33.99	25.20
07-Oct-24	27.29	25.70
19-Aug-24	27.08	20.27
11-Jul-24	28.46	21.20
12-Jun-24	29.04	22.85
18-Apr-24	26.70	22.33
05-Mar-24	30.68	21.79

Bank of China (A) (601988.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
18-Apr-24	3.38	4.69
05-Mar-24	3.15	4.60
07-Nov-23	3.40	3.89
18-Oct-23	3.36	4.02
15-Aug-23	3.45	3.82
04-Jul-23	3.46	3.92

Bank of Ningbo (002142.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
07-Nov-23	27.77	25.16
18-Oct-23	27.85	24.82
15-Aug-23	30.48	27.45
04-Jul-23	30.52	25.22

Bank of China (H) (3988.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
30-Apr-26	5.95	5.06
31-Mar-26	5.35	4.97
11-Mar-26	4.95	4.51
18-Dec-25	4.94	4.38
06-Nov-25	4.93	4.57
17-Oct-25	4.90	4.28
05-Aug-25	5.24	4.60
07-May-25	4.83	4.45
22-Apr-25	4.86	4.30
07-Apr-25	4.95	4.13
27-Mar-25	5.00	4.61
09-Jan-25	4.91	3.90
07-Oct-24	3.57	3.90
19-Aug-24	3.56	3.55
12-Jun-24	3.72	3.70
18-Apr-24	2.67	3.35
05-Mar-24	2.49	3.05
07-Nov-23	2.68	2.79
18-Oct-23	2.65	2.82
04-Jul-23	2.83	3.16

Price targets shown in table(s) are unadjusted for corporate actions.

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